MODULE 31 · DOMAIN 3 - BUSINESS ENVIRONMENT

Governance, PMOs and escalation paths

Who decides what, the kinds of PMO, process assets and environmental factors, success metrics, and escalation thresholds.

DOMAIN III - Business Environment EXAM WEIGHT 26% MODULE 31 of 49

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Governance decides **who decides**, and when a decision must go higher.

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What project governance covers

- **Structure**: the bodies and roles with authority, such as the sponsor and steering committee.
- **Decision rights**: who can approve what, up to which limits.
- **Rules and procedures**: policies, standards, templates, ethics.
- **Oversight**: reporting, reviews, gates and audits.
- PMBOK 8 puts Governance first among its seven domains, with nine processes.

> ON THE EXAM
>
> Governance is the frame the project works inside. The PM designs it with the sponsor, early.

Who's who in project governance

ROLE	TYPICAL AUTHORITY
Portfolio board	Chooses and prioritises projects; allocates funding
Sponsor	Owns the business case; champions; key decisions and funding
Steering committee	Oversees direction; decides escalated issues and gates
Change control board	Approves or rejects changes above the PM's limits
PMO	Standards, support, reporting, sometimes control
Project manager	Runs the project within delegated authority
Product owner	Decides product priorities on agile work

ON THE EXAM

Know which body owns which decision. Many exam answers depend on sending it to the right one.

Three kinds of PMO

TYPE	CONTROL	WHAT IT DOES
Supportive	Low	Templates, training, lessons learned, advice; a consultant
Controlling	Moderate	Requires compliance with methods, templates, reporting, audits
Directive	High	Directly manages projects; project managers report to it

ON THE EXAM

Supportive supplies, controlling requires, directive runs. Read how much control the scenario describes.

Portfolio, programme or project?

PORTFOLIO AND PROGRAMME

Above the project

- Portfolio: the right work, for strategy
- Programme: related projects, managed together
- Benefits beyond any one project
- Prioritise and coordinate

PROJECT

Delivering the work

- A temporary initiative to create value
- Its own objectives and scope
- Contributes to programme or portfolio
- Deliver within governance

THE TIEBREAKER

Portfolios choose the right projects. Programmes coordinate related ones. Projects deliver.

Process assets or environmental factors?

ORGANISATIONAL PROCESS ASSETS

Inside, and usable

- Policies, procedures, templates
- Lessons learned repositories
- Historical data and past project files
- The project can use and update them

ENTERPRISE ENVIRONMENTAL FACTORS

Conditions you work within

- Culture, structure, market conditions
- Laws, regulation, standards
- Infrastructure and available skills
- Largely outside the project's control

THE TIEBREAKER

Can the project use it and update it? Process asset. Must the project work within it? Environmental factor.

Tailoring governance

- Match the weight of governance to the project's **size, risk and complexity**.
- Agile governance: frequent reviews of working product, guardrails instead of approvals, funding by outcome.
- Hybrid: steering sees one integrated view; the product owner decides product detail within agreed limits.
- Heavy governance on small, low-risk work slows delivery and adds no protection.

> ON THE EXAM
>
> Governance should be as light as possible and as strong as necessary.

Escalation paths and thresholds

- The outline asks you to **outline governance escalation paths and thresholds**.
- Define **tolerances** for cost, schedule, scope, quality and risk at each level of authority.
- Name **who** decides beyond each tolerance, and **how fast** they must respond.
- Without defined thresholds, every issue either escalates too early or too late.

> ON THE EXAM
>
> Within tolerance, the PM acts. Beyond it, the path is already agreed. That is what makes escalation answers clear.

An example tolerance table

LEVEL	COST	SCHEDULE	SCOPE
Project manager	Up to 5 percent	Up to 2 weeks	Minor, no change to objectives
Sponsor	Up to 10 percent	Up to 6 weeks	Changes within the business case
Steering committee	Beyond 10 percent	Beyond 6 weeks	Changes to objectives or benefits

ON THE EXAM

Read the scenario's numbers against a table like this. The level that owns the decision is the answer.

Defining success metrics

- The outline asks you to **define success metrics** as part of governance.
- Agree them with key stakeholders **at the start**: what will count as success, measured how.
- Cover both kinds of success from module 01: delivered as planned, and worth the effort.
- Use measurable indicators: KPIs, objectives and key results, benefit targets.

> ON THE EXAM
>
> Success agreed at the start prevents arguments at the end about whether the project worked.

Gates and governance reviews

- **Phase gates**: go, no-go or change direction, at the end of a phase.
- **Steering reviews** on a regular cadence, fed by exception reports (module 15).
- **Audits** of process, finance or compliance, sometimes independent.
- Each gate has **exit criteria** agreed in advance, so the decision is about evidence.

> ON THE EXAM
>
> Gates are decisions, not ceremonies. Agree the criteria first, then bring the evidence.

Project Lantern: governance

- **Steering committee**: chief operating officer, finance, clinical lead, IT; monthly, plus each clinic gate.
- **Tolerances**: PM 5 percent and two weeks; sponsor 10 percent; beyond that, steering.
- **Controlling PMO**: requires a monthly exception report and a risk review.
- **Success metrics** agreed at the start: go-lives on time, and missed appointments down by a quarter.

> ON THE EXAM
>
> Clear bodies, clear tolerances, a known PMO role, and success defined before work began.

Scenario signals and the move

THE SCENARIO SAYS	THE MOVE
Change within the PM's tolerance	Decide it; record and communicate
Change beyond the PM's tolerance	Take it, with analysis, to the level that owns it
PMO gives templates and advice only	Supportive PMO
A new external law or market condition	Enterprise environmental factor
Nobody knows who decides an issue	Escalation paths should have been defined
Stakeholders argue about whether it succeeded	Success metrics should have been agreed at the start

ON THE EXAM

Know the structure, the tolerances and the success measures. Then every decision has an obvious home.

A change request would increase a project's cost by 3 percent and add one week to a non-critical activity. The governance plan gives the project manager authority up to 5 percent of cost and two weeks of schedule.

The team has analysed the change and recommends it.

What should the project manager do?

A Escalate the change to the steering committee for approval.

B Approve the change within delegated authority, then update the plan and inform stakeholders.

C Reject the change to protect the baseline.

D Ask the sponsor to sign the change request.

◆ PAUSE AND DECIDE

What should the project manager do?

A Escalate to steering.

Wastes senior time on a decision already delegated to the PM.

B Approve within authority; update and inform.

Uses the delegated tolerance exactly as governance intends.

C Reject it.

Baselines change through control, not never. The change is analysed and recommended.

D Ask the sponsor to sign.

Unnecessary. The decision sits within the PM's own limits.

THE SIGNAL

Inside your tolerance, decide. Escalating what governance has delegated to you is also a mistake.

> A growing company wants to set up a PMO. Its leaders want it to provide templates, training and lessons learned to project managers.
>
> They do not want it to require compliance or manage projects directly.

Which type of PMO fits best?

A Directive

B Controlling

C Supportive

D A portfolio board

◆ PAUSE AND DECIDE

Which type of PMO fits best?

A Directive

Manages projects directly. Ruled out by the leaders.

B Controlling

Requires compliance. Also ruled out.

C Supportive

Supplies templates, training and lessons, with low control.

D Portfolio board

A governance body that selects projects, not a PMO type.

THE SIGNAL

Supportive supplies, controlling requires, directive runs.

> Halfway through a project to build a customer data platform, the government introduces a new data privacy law that changes how customer consent must be recorded.
>
> The project manager is updating the project documents.

How should the new law be classified?

A An enterprise environmental factor

B An organisational process asset

C A lesson learned

D A project assumption

◆ PAUSE AND DECIDE

How should the new law be classified?

A Enterprise environmental factor

An external condition the project must work within, outside its control.

B Organisational process asset

Assets are the organisation's own, usable and updatable. A law is neither.

C Lesson learned

A lesson is knowledge from experience, not an external rule.

D Project assumption

It is a known fact now, not something assumed to be true.

THE SIGNAL

External, and must be worked within: environmental factor. Internal, usable and updatable: process asset.

> A supplier dispute threatens a 12 percent cost increase. The project manager knows this exceeds their authority, but nobody can say whether it should go to the sponsor, the PMO or the steering committee.
>
> Two weeks have passed without a decision.

What should the project manager have done to prevent this?

A Escalated the dispute directly to the chief executive.

B Decided the dispute personally to avoid delay.

C Waited for the supplier to withdraw its claim.

D Defined escalation paths and thresholds with the sponsor when governance was set up.

◆ PAUSE AND DECIDE

What should the project manager have done to prevent this?

A Go to the chief executive.

Skips every level of governance. Not prevention.

B Decide it personally.

Acts beyond authority, which the PM already knows.

C Wait.

Not prevention, and the delay is already costing time.

D Define escalation paths and thresholds early.

The outline's enabler. With a path agreed, the decision goes straight to its owner.

THE SIGNAL

Two weeks lost because nobody knew who decides: the escalation path was never defined.

> At closure, the sponsor says the project succeeded because it finished on time and on budget. The operations director says it failed, because staff productivity has not improved.
>
> No success measures were written down at the start.

What should the project manager have done?

A Run a satisfaction survey at closure to settle the question.

B Agreed success metrics with key stakeholders at the start, covering delivery and outcomes.

C Measured success only by schedule and budget, since those are objective.

D Let the sponsor define success, since the sponsor owns the business case.

◆ PAUSE AND DECIDE

What should the project manager have done?

A Survey at closure.
Too late, and opinion cannot replace agreed measures.

B Agree success metrics at the start.
Both views could have been reconciled into shared, measurable criteria.

C Schedule and budget only.
Measures project management success, not whether it was worth doing.

D Sponsor alone defines success.
Ignores key stakeholders, including the operations director who must live with it.

THE SIGNAL

Two definitions of success collide at the end: success metrics were never agreed at the start.

A steering committee asks an agile product team for a detailed monthly Gantt chart of every task. The team plans with a roadmap and backlog, and says a Gantt chart would be obsolete within days.

The committee's real concern is whether the release date is at risk.

What should the project manager do?

A. Produce the detailed Gantt chart each month, as requested.

B. Decline, since agile teams do not produce that kind of report.

C. Agree tailored reporting that answers the committee's concern, such as a release burnup and forecast.

D. Escalate the disagreement to the portfolio board.

◆ PAUSE AND DECIDE

What should the project manager do?

A Produce the Gantt chart.

Effort spent on an artefact that is wrong within days.

B Decline.

Ignores a legitimate governance need for assurance.

C Tailored reporting that answers the concern.

Tailors governance: meets the need, in a form that fits the approach.

D Escalate.

A conversation with the committee has not happened yet.

THE SIGNAL

Governance needs assurance, not a particular chart. Agree the form that gives real assurance.

Clear structure, clear tolerances, success defined up front.

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